

Customer payment behaviour - cash flow risks

Executive Summary

The average days late looks manageable at first glance, but the maximum days late tells a different story. Those maximums may be outliers, but they are also warning signs.

With almost all customers on 30-day payment terms, and 44.30% of invoices overdue, this is not just customer behaviour. It also points to receivables management needing closer attention.

Some customers are over 50% late, even where the overall payment behaviour only shows as “slightly late”. That’s where incentives such as early-payment discounts, payment reminders, or rewards for consistent on-time payment could make a practical difference.

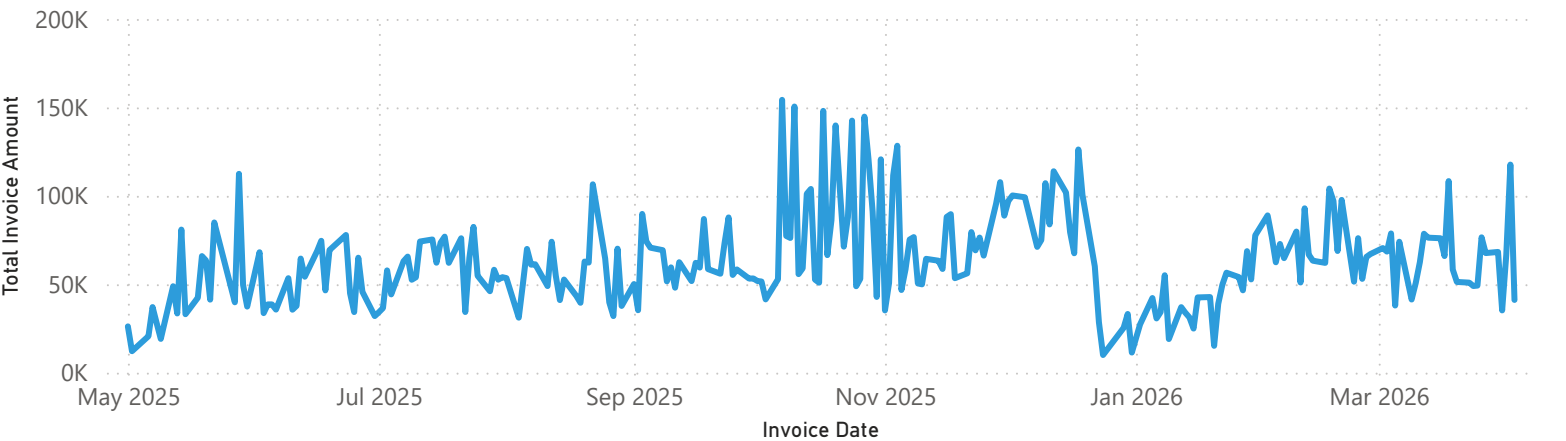
The scatter plot on page 2 adds another layer. The three filled points highlight customers worth reviewing directly. One large customer represents around 8% of total invoice value flagged as high risk. Even with average lateness just over five days, the exposure matters because volume turns small delays into real cash flow pressure.

In short: average lateness does not tell the whole story. Value, volume, and behaviour together show where the actual risk sits.

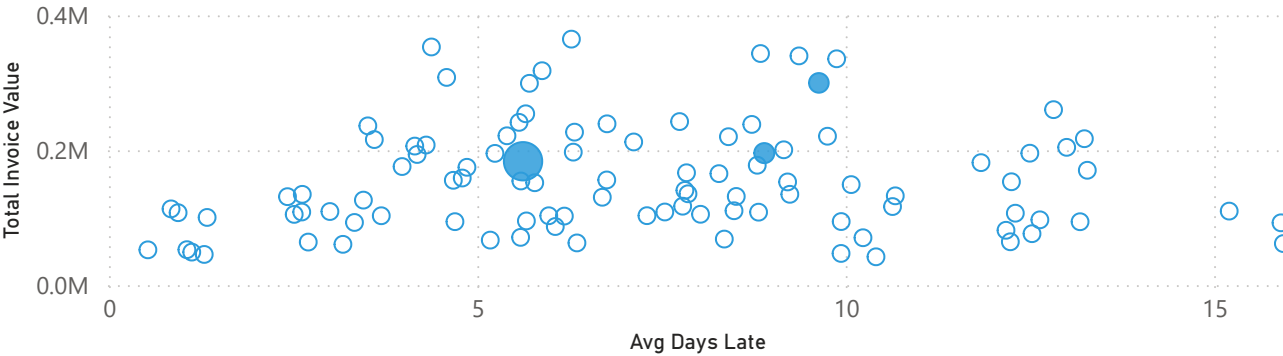
16M	3.45K	44.30%	92	7.29
Total Invoice Amount	Avg Invoice Amount	Overdue %	Max Days Late	Avg Days Late

Customer	Industry	Payment Terms	# Invoices	Avg Invoice Amount	Overdue %	Actual Payment Behaviour	Max Days Late	Avg Days Late
C014	Retail	30	40	3829.48	42.50%	Slightly Late	92	12.25
C088	Retail	30	34	3225.29	50.00%	Regularly Late	77	15.21
C007	Wholesale	30	50	3404.40	48.00%	Slightly Late	75	13.28
C041	Manufacturing	30	33	3229.24	48.48%	Slightly Late	75	12.30
C044	Distribution	30	33	2845.70	45.45%	Slightly Late	75	13.18
C051	Distribution	30	49	4167.86	46.94%	Slightly Late	75	13.00
C061	Hospitality	30	17	3775.24	35.29%	Slightly Late	75	12.24
C062	Hospitality	30	17	4481.35	58.82%	Slightly Late	75	12.53
C069	Wholesale	30	33	2931.58	51.52%	Slightly Late	75	12.64
C070	Wholesale	30	33	2797.58	48.48%	Regularly Late	75	15.91
C077	Hospitality	60	50	3910.82	42.00%	Slightly Late	75	12.50
C078	Retail	30	50	4340.06	48.00%	Slightly Late	75	13.24
C087	Manufacturing	30	34	2389.53	41.18%	Slightly Late	75	12.18
C091	Hospitality	45	17	3619.18	47.06%	Regularly Late	75	15.94
C100	Hospitality	30	73	3562.88	50.68%	Slightly Late	75	12.82
Total			563	3521.47	47.07%	Slightly Late	92	13.18

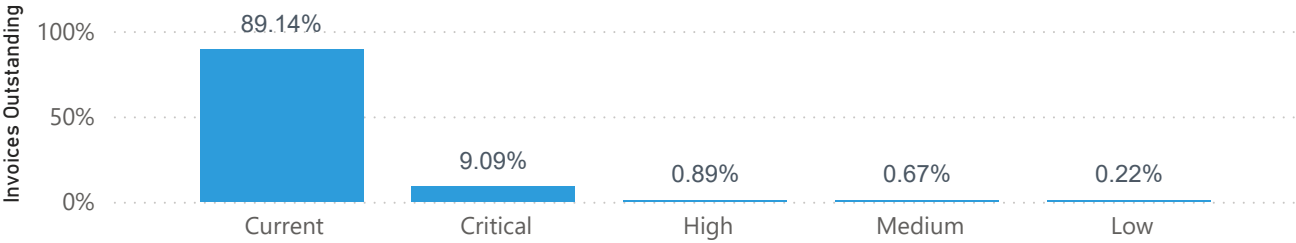
Total Invoice Amount by Invoice Date



Avg Days Late, Total Invoice Value and High Risk Exposure by Customer



Invoices Outstanding by Risk Category



Recommended Actions

1. Review payment terms alongside actual behaviour

Not all late payment risk is caused by customer unwillingness to pay. Some customers are already on extended payment terms and are still paying late. That combination increases exposure quickly.

Customers showing:

- repeated overdue behaviour,
- higher invoice values,
- and longer terms

should be reviewed directly. In some cases, revised payment terms, staged billing, or tighter credit controls may be appropriate.

The dashboard helps identify where payment terms and payment behaviour are no longer aligned.

2. Intervene before invoices become materially overdue

Once invoices move beyond the early overdue stage, collection difficulty and operational friction tend to increase.

The dashboard can be used as an early-warning tool:

- identify customers approaching the 15-day overdue threshold,
- monitor growing outstanding exposure,
- and prioritise proactive contact before issues escalate.

A short conversation at day 10 is usually easier than a difficult conversation at day 45.

3. Reward consistent payment behaviour proportionately

Not every intervention needs to be punitive.

Customers with strong payment discipline may justify:

- small early-payment discounts,
- preferential terms,
- reduced administrative friction,
- or other proportionate incentives.

Improving payment behaviour by even a few days across high-volume customers can materially improve cash flow stability.

4. Focus on exposure concentration, not just average lateness

Average days late can hide risk concentration.

A customer paying five days late may not appear problematic until:

- invoice volume,
- outstanding exposure,
- and payment consistency

are viewed together.

The scatter plot highlights customers where relatively small delays create disproportionate financial exposure. These accounts should receive more active monitoring.